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Case Number: 26TRCV01282 Hearing Date: July 22, 2026 Dept: P

Demurrer to Plaintiff's First Amended Complaint

Moving Party: Defendant General Motors LLC

Responding Party: Plaintiff Patricia C Guerrero

RULING

The court considered the moving papers, opposition, and reply. GM's Demurrer to the fifth cause of action of Plaintiff's FAC is SUSTAINED without leave to amend.

PROCEDURAL BACKGROUND

On April 9, 2026, Plaintiff Patricia C Guerrero ("Plaintiff") filed a complaint against Defendants General Motors, LLC ("GM") and DOES 1 through 10, inclusive (collectively, "Defendants"), alleging five causes of action for: (1) Violation of Civil Code Section 1793.2(d); (2) Violation of Civil Code Section 1793.2(b); (3) Violation of Civil Code Section 1793.2(a)(3); (4) Breach of the Implied Warranty of Merchantability; and (5) Fraudulent Inducement – Concealment.

On May 4, 2026, GM filed a demurrer to Plaintiff's complaint.

On June 2, 2026, Plaintiff filed a first amended complaint ("FAC") against Defendants, alleging the same five causes of action.

On June 17, 2026, GM filed the instant demurrer. On July 7, 2026, Plaintiff filed an opposition. On July 13, 2026, GM filed a reply.

FACTUAL BACKGROUND

Plaintiff alleges that on May 21, 2023, she entered into a warranty contract with GM regarding a 2023 Chevrolet Blazer (the "Subject Vehicle"). (FAC, ¶ 6.) Plaintiff alleges that defects and nonconformities to warranty presented themselves within the applicable warranty period. (FAC, ¶ 13.) Plaintiff alleges that GM has failed to promptly replace the Subject Vehicle or make

restitution. (FAC, ¶ 18.) Plaintiff alleges that GM concealed a known defect from Plaintiff, as Plaintiff presented the Subject Vehicle to GM's authorized repair facility on multiple occasions, after which the repair facility represented that the Subject Vehicle had been repaired. (FAC, ¶¶ 51, 57-58.) Plaintiff alleges that she continued experiencing symptoms of defects in the Subject Vehicle despite the repair facility's representations that the defects had been repaired. (FAC, ¶ 59.)

LEGAL STANDARD

A party may demur to a complaint on the grounds that it "does not state facts sufficient to constitute a cause of action." (Code Civ. Proc. Section 430.10(e).) A party may also demur to a pleading on the grounds that the pleading is uncertain. (Code Civ. Proc. Section 430.10(f).) A demurrer tests whether the complaint states a cause of action. (Hahn v. Mirza (2007) 147 Cal.App.4th 740, 747.) A special demurrer for uncertainty under Code of Civil Procedure section 430.10(f) is disfavored and will only be sustained where the pleading is so bad that defendant or plaintiff cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her. (Khouri v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.)

When considering demurrers, courts accept all well pleaded facts as true. (Fox v. JAMDAT Mobile, Inc. (2010) 185 Cal.App.4th 1068, 1078.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) "The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn, supra, 147 Cal.App.4th at 747.) On demurrer, a court does "not accept contentions, deductions or conclusions of fact or law." (Simonyan v. Nationwide Insurance Company of America (2022) 78 Cal.App.5th 889, 895.)

Although courts construe pleadings liberally, sufficient facts must be alleged to support the allegations pled to survive a demurrer. (Rakestraw v. California Physicians' Serv. (2000) 81 Cal.App.4th 39, 43.) Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) The burden is on the party who filed the pleading subject to demurrer to show the court that a pleading can be amended successfully. (Ibid.)

DISCUSSION

Moving Party's Argument

GM demurs to Plaintiff's fifth cause of action for Fraudulent Inducement – Concealment on the grounds that the FAC fails to allege facts sufficient to state a cause of action and Plaintiff's cause of action is barred by the economic loss rule and independent tort principle, such that Plaintiff cannot establish the elements of her cause of action independently of the parties' contractual rights and obligations. GM argues that the FAC fails to allege any facts regarding direct dealings between the parties to establish the transactional relationship that is required to trigger a duty to disclose. GM also argues that the FAC fails to allege facts supporting her fifth cause of action with the requisite specificity, including that GM had exclusive knowledge of the alleged engine defect at the time of sale to trigger a duty to disclose, that GM actively concealed the alleged engine defect from Plaintiff, and actual and justifiable reliance by Plaintiff.

Opposing Party's Argument

Plaintiff argues that she has alleged a transactional relationship giving rise to a duty to disclose, because GM communicates with vehicle buyers directly through its advertising, websites, and other marketing materials. Plaintiff argues that she has alleged a buyer-seller relationship with GM because Plaintiff went to an authorized GM dealership to purchase the Subject Vehicle. Plaintiff also argues that the FAC alleges that Plaintiff entered into a warranty contract with GM regarding the Subject Vehicle, giving rise to a duty to disclose material facts. Plaintiff argues that the economic loss rule does not apply to fraudulent inducement causes of action.

Reply Argument

GM primarily argues that Plaintiff has failed to allege direct dealings between Plaintiff and GM, and thus Plaintiff has not alleged a transactional relationship required to trigger a duty to disclose. GM argues that Plaintiff's opposition relies on *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, but Plaintiff's FAC is factually distinguishable, providing support for GM's argument that Plaintiff has failed to plead the requisite transactional relationship with GM. GM further reiterates its arguments that Plaintiff has failed to meet the heightened pleading standard for fraud, and Plaintiff's Fraudulent Inducement – Concealment cause of action is barred by the economic loss rule because Plaintiff has not sufficiently alleged the elements of her cause of action.

Merits of the Motion

A. Meet and Confer Requirements

Before filing a demurrer, the demurring party is required to meet and confer "in person, by telephone, or by video conference with the party who filed the pleading that is subject to the demurrer for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer." (Code Civ. Proc. Section 430.41(a).)

Here, GM's counsel declares that on June 10, 2026, counsel for GM met and conferred with Plaintiff's counsel via telephone, and the parties were unable to reach a resolution regarding the merits of Plaintiff's FAC. (Perez Decl., ¶ 2.)

Therefore, the court finds that the meet and confer requirements have been satisfied.

B. Fifth Cause of Action: Fraudulent Inducement – Concealment

To state a claim for fraudulent inducement-concealment, a plaintiff must allege: (1) the defendant "concealed or suppressed a material fact," (2) the defendant was "under a duty to disclose the fact to the plaintiff," (3) the defendant "intentionally concealed or suppressed the fact with the intent to defraud the plaintiff," (4) the plaintiff was "unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact," and (5) "as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 310–11.)

As is relevant here, "[a] duty to disclose a material fact can arise if ... (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)." (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal. 5th 1, 40 (internal citations omitted).) These circumstances "presuppose a preexisting relationship between the parties, such as "between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances...Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." (Id. at 40-41 (internal citations omitted).)

Concealment claims are subject to the same specificity requirement as fraud claims, but plaintiffs are not required to plead how, when, where, to whom, and by what means a representation was made. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) However, where a duty to disclose is premised on a relationship between the parties or on exclusive knowledge, the complaint must include specific allegations establishing: (1) the content of the omitted facts, (2) defendant's awareness of their materiality, (3) the inaccessibility of the facts to plaintiff,

(4) the point at which the facts should or could have been revealed, and (5) justifiable and actual reliance. (Rattagan, *supra*, 17 Cal.5th at 43–44.)

Here, Plaintiff alleges the existence of several defects in the Subject Vehicle including an engine defect that was not disclosed at the time of purchase. (FAC, ¶¶ 56, 62, 66.) Plaintiff also alleges that GM knew or should have known about the engine defect, that the engine defect was not known or reasonably discoverable by Plaintiff prior to her purchase of the Subject Vehicle, that GM has actively concealed the engine defect before and after the sale, and that Plaintiff would not have purchased the Subject Vehicle had the defect been disclosed. (FAC, ¶¶ 66, 69, 71.)

GM argues that Plaintiff's fifth cause of action fails because Plaintiff has not sufficiently alleged that GM owed a duty to disclose at the time of Plaintiff's purchase of the Subject Vehicle. The court agrees.

Plaintiff alleges a contractual relationship with GM based on express and implied warranties. (FAC, ¶¶ 9, 46.) Plaintiff also alleges that "GM's authorized retail dealerships, including the one Plaintiff purchased [the Subject Vehicle] at, convey information from GM to prospective purchasers (including Plaintiff), using methods that GM directs and controls such as marketing brochures and floor displays." (FAC, ¶ 52.) Plaintiff alleges that prior to her purchase of the Subject Vehicle, she reviewed GM's marketing and advertising materials. (FAC, ¶ 53.)

The court finds that Plaintiff's allegations are insufficient to support a duty to disclose by GM. The California Supreme Court has clarified that a vehicle manufacturer is not a party to the retail sales contract between a consumer and an independent dealership. (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1128.) The manufacturer's warranties are independent of the sales contract and arise by statute upon delivery of the vehicle. (*Id.* at 1135.) Because the warranties come into existence upon sale, they do not establish a preexisting transactional relationship between GM and Plaintiff that would be sufficient to impose a duty to disclose.

Further, the FAC does not allege that GM participated in or controlled the sales transaction, and Plaintiff has only alleged that GM's "dealers [are] GM's agents for vehicle repairs." (FAC, ¶ 66.) Plaintiff has not alleged that the dealership that sold the Subject Vehicle to Plaintiff acted as GM's agent for purposes of the sale of vehicles to consumers. Therefore, the instant case is distinguishable from *Dhital v. Nissan North America, Inc.*, where the plaintiffs expressly alleged that the manufacturer's authorized dealerships were its agents "for purposes of the sale of Nissan vehicles to consumers," and the court relied on those agency allegations in concluding that a sufficient buyer-seller relationship had been alleged at the pleading stage. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844.) The court finds that Plaintiff has not made any comparable agency allegations in the FAC.

Although the court in *Bigler-Engler* recognized that a sufficiently misleading affirmative representation or direct consumer advertising might, in some circumstances, give rise to a duty to disclose even absent a close transactional relationship, the court finds that Plaintiff's FAC contains no allegations that GM made specific affirmative misrepresentations to Plaintiff or directly advertised in a manner that would trigger such an exception. (*Bigler-Engler*, *supra*, 7 Cal.App.5th at 312, 314.)

As Plaintiff has failed to allege a relationship giving rise to a duty to disclose, GM's Demurrer to Plaintiff's fifth cause of action is SUSTAINED. Because the court has sustained GM's Demurrer on these grounds, the court declines to address GM's economic loss rule argument.

C. Leave to Amend

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768 ("When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.")) The burden is on the complainant to show the Court that a pleading can be amended successfully. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

The court notes that Plaintiff has already amended her complaint once and finds that Plaintiff has not demonstrated that the FAC can be successfully amended to state a cause of action for Fraudulent Inducement – Concealment.

Accordingly, leave to amend is DENIED.

CONCLUSION

Based on the foregoing, GM's Demurrer to Plaintiff's fifth cause of action is SUSTAINED without leave to amend.

Moving party is ordered to give notice of ruling.